

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$104.94 ▲ 0.66%	12M Price Target \$115.00	52-Week Range \$63.52 – \$153.86	Market Cap \$94.35B
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HOOD: Crypto Volume Surging But Stock Losing Momentum

WHAT HAPPENED

- HOOD is down about 6% from last week's \$112 high even as crypto is having its best week in months — that's a yellow flag. When a stock can't rally on obviously good news (Bitcoin ripping, Robinhood Chain hitting record \$874.8M volume), it usually means the good stuff is already priced in.
- The Motley Fool piece pointing out that Interactive Brokers earns more on idle customer cash than HOOD does is starting to circulate — this matters because if the Fed cuts rates again, HOOD's net interest income (money they make on customer deposits) shrinks faster than competitors.

WHY IT MATTERS

Here's what I think is going on: HOOD had a huge run (52-week range \$63-\$154, we're at \$105), and the market is now asking "what's the next catalyst?" The crypto tailwind is real — Robinhood Chain doing record volume tells you their crypto flywheel is working — but investors already paid for that thesis. The bullish options flow (put/call at 0.71, unusual call buying at \$103/\$105 strikes) suggests traders are betting on a bounce short-term, but the price action says institutions may be trimming into strength. The DraftKings/Flutter ruling that "sports bets aren't swaps" is actually indirectly relevant here — it signals courts are drawing clearer lines between gambling and securities, which could matter as HOOD pushes deeper into prediction markets and event contracts.

POLICY & POLITICAL WATCH

The big one to watch: the CLARITY Act and follow-on crypto market structure legislation moving through Congress — if it passes, it gives Robinhood a clear legal framework to expand crypto offerings (staking, tokenized stocks, more altcoins) which is a direct revenue tailwind. The current SEC under the Atkins administration has already dropped several enforcement actions against crypto firms, meaning HOOD's regulatory overhang from 2023-2024 is basically gone. Watch also for prediction market rulings from the CFTC — HOOD's Kalshi partnership and event contracts business could be a multi-billion dollar opportunity if regulators keep giving them room to run.

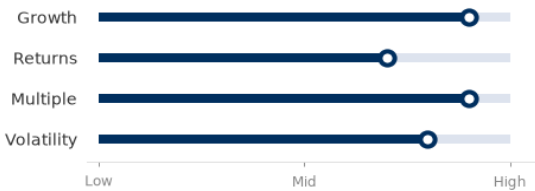
IS IT EXPENSIVE?

At \$105, HOOD trades around 57x forward earnings — meaning you're paying \$57 today for every \$1 the company is expected to earn next year. That's not cheap; for context, Schwab trades around 20x and Interactive Brokers around 25x. The premium is justified IF you believe crypto revenue keeps compounding 40%+ and prediction markets become a real business — but if either falters, this stock has room to compress toward \$80.

Key Data

Price (USD)	\$104.94
12M Price Target	\$115.00
Upside / (Downside)	+9.6%
Market Cap	\$94.35B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	56.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$118.00	\$108.00	\$95.00
6 Months	\$140.00	\$115.00	\$85.00
1 Year	\$165.00	\$125.00	\$75.00
2 Years	\$200.00	\$145.00	\$65.00
5 Years	\$300.00	\$180.00	\$50.00
10 Years	\$500.00	\$250.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2% today) on likely OPEC and geopolitical tailwinds; Tech still strong on 5-day basis (+3.2%) as AI capex keeps flowing.

COOLING OFF: Consumer Staples and Healthcare are getting sold — classic risk-on rotation where safety trades lose to growth.

ROTATION WATCH: Money is moving into risk assets (crypto, tech, high-beta names) as rate cut expectations firm up — normally great for HOOD, but the stock isn't participating today, which is worth noting.

RELATED PLAY: If you want crypto exposure without HOOD's brokerage risk, COIN is more of a pure-play. If you want the "financialization of everything" theme, watch CME and ICE — they own the rails that prediction markets and tokenized assets will run on.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same Bitcoin rally but with cleaner crypto exposure and benefiting more directly from stablecoin legislation.
- IBKR (Interactive Brokers): Winning the "quality broker" trade — better margins on idle cash, more international exposure, less crypto whiplash.

HOOD CONTEXT: HOOD is lagging COIN on the crypto rally and lagging IBKR on the "boring quality" trade — it's stuck in the middle right now. That tells me the stock needs a fresh HOOD-specific catalyst (earnings beat, new product launch, or M&A) to get moving again rather than just riding sector momentum.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Great business, favorable regulatory backdrop, but valuation is doing a lot of the heavy lifting here. Not pounding the table at \$105.

POSITION SIZE: 2-4% of portfolio — enough to matter if it works, small enough that a 30% drawdown doesn't wreck you. This is a volatile name.

ENTRY POINTS: I'd rather add on pullbacks to \$90-95 than chase here. The stock has a habit of overshooting both directions.

TIME HORIZON: 12-18 months — waiting for either crypto market structure legislation to pass or a Q4 earnings blowout on prediction markets revenue.

WHEN TO BAIL: If quarterly transaction revenue drops more than 20% sequentially, or if Congress somehow revives a PFOF ban. Also watch monthly active users — if that number starts declining, the growth story cracks.

HEDGING: Simple approach — if you own 100 shares, buy a put option (right to sell at a fixed price) at \$90 expiring in 3-6 months. Costs a few bucks per share but caps your downside if crypto rolls over.